

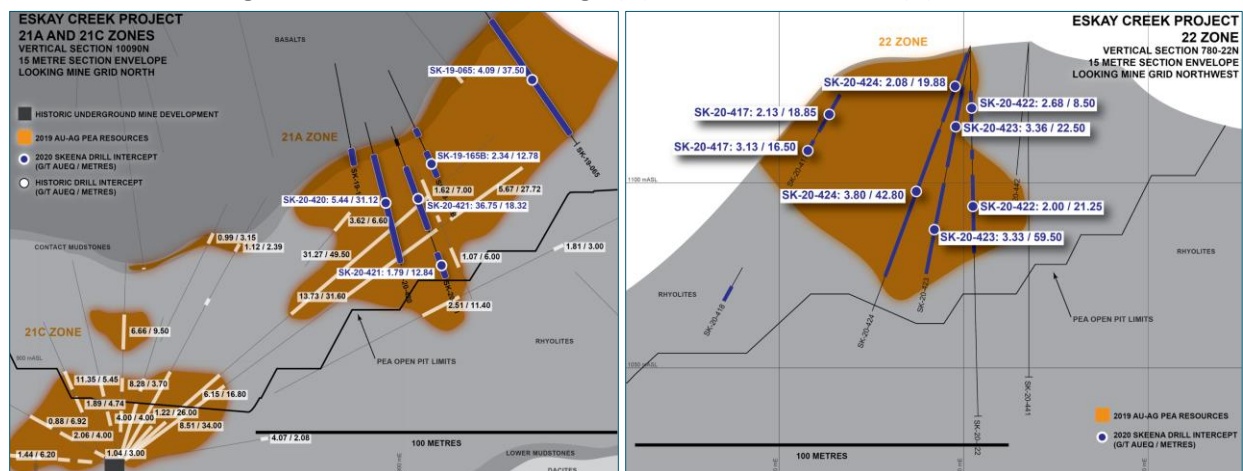
Ticker: SKE CN **Net cash:** C\$43m **Project:** Lawyers
Market cap: C\$487m **Price:** C\$2.94/sh **Country:** Canada, BC
RECOMMEND. (unc): BUY **TARGET** (down): C\$4.30/sh **RISK RATING:** HIGH

Post raising C\$46m hard and C\$8.5m flow, Skeena's pro-forma ~C\$76m cash is driving one of the largest drill campaigns in BC with 12 rigs now. Since the larger equity raise, early results of 27 holes are outstanding with an average 39m @ 5.55g/t AuEq, including quite remarkable highlight of **18m @ 37g/t**. However, we think the market is somewhat anesthetised to such results, so 'what next' is more important. We expect CY21 to see a slew of material catalysts. Firstly, 1H21 assays will be the first inside the 25m buffer (between nearly 70g/t AuEq old stopes and 4.3g/t AuEq reserve). Next, the grade of existing reserves should improve as a result of infilling vertical structures and drilling the 25m buffer, further benefitting from a reduction in both a 3m SRK buffer around stopes that was applied to the existing resource, and a 1m buffer between the proposed pit and old stopes. Finally we expect pit optimisations to pull down to the existing 283koz @ 7.9g/t UG material, potentially adding >250koz to pittable reserve given the lower-grade cut-off used for pits. We do expect extensions to be a lower grade, but blending with buffer/infill drilling should enable ~flat ROM grade in the low 4s going forward. A single rig at Snip adds yet another dimension to the upside as well. We only model the ~3Moz AuEq in the PEA, adding Snip at US\$75/oz, and deducting central G&A and finance costs. To incorporate the ~20% ounce upside we expect in the medium-term, and now including mine build dilution for 268m FF FD shares, we lift NAV multiple from 0.5x to 0.7xNAV_{5%-1850}, maintaining our BUY rating but lower our PT from C\$4.80/sh to **0.7xNAV_{5%-1850-24} PT of C\$4.30/sh**. At spot US\$1,891/oz, we estimate Skeena's NAV stands at C\$1.9bn, putting the stock on just 0.39xNAV_{5%-1890-26} ahead of ounce growth above.

Eskey highlights of 18m @ 37g/t to improve as buffer drilling starts; ~C\$75m pro forma cash

Since closing a C\$46m equity raise in November and with another C\$8.5m flow this week, Skeena has released 27 drill holes between the 22 Zone (21 holes: avg. 46.4m @ 4.3g/t AuEq), 21C Zone (three holes: avg. 9.7m @ 18g/t) and 21A (two holes: avg. 25m @ 17g/t). Highlights include **18.3m @ 37g/t** at 21A, **48.7m @ 8.5g/t** and **86.6m @ 4.0g/t**, both from Zone 22. One of the 22 Zone holes stepped out 200m to the NE, intersecting a parallel zone returning highlights of **11.8m @ 21g/t AuEq**. The company has now lifted to 12 rigs drilling, including one rig at Snip undertaking a 5,000m expansion programme there.

Figure 1: Cross sections through (A) Zones 21C/21A and (B) 22 Zone



Source: Skeena

Our view

These are clearly excellent drill results. Despite being infill, the advantage of the headline hits is that they represent intersections into high-grade sub-vertical feeders that fell between prior wide-spaced drilling.

As such, we expect the grade of said resource areas to improve to above the 4.3g/t AuEq, although the grade of new ounces, discussed below, will control the ultimate LOM grade. Looking beyond the published infill, it is important to understand what/where/when is being targeted. Barrick's imposed 'no-drill' buffer of 25m around old workings only ended on transaction close in October, so no assays are back from that zone yet. With the older stopes at over 20pt AuEq, and reserve at 4.3g/t, the buffer is logically part-way between the two. This means that no matter how used to mega-hits the market is, we think drill highlights are about to get better.

Size potential: Looking beyond simple headlines from buffer-zone infill, the existing resource has an arbitrary 3m exclusion zone around old workings, we expect that to drop to 1m with potential for **100-200koz** of additional gold, which further benefits from taking the 1m pit-shell buffer down as well. Next, the 4Q19 resource included 283koz @ 7.9g/t AuEq in an UG resource – we see potential for the pit to pull down to this level, and once pitable would expect a lower cut-off to add >250koz of resource, for perhaps **150-200koz** net reserve addition. Near-mine step out drilling could add >**100koz** as well for a potential net addition of ~500koz. The halo around UG material will be lower grade, but we'd expect buffer material to be higher grade, for a net flat low-4s grade LOM.

Valuation

We lift basic shares from 168m to 217m to incorporate C\$46m @ C\$2.35/sh and C\$8.5m @ C\$3.50/sh raised in November (hard) and December (flow), respectively. Our modelled funding to first pour is C\$413m; C\$303m PEA capex, SCPe G&A, SCPe C\$48m of exploration, and SCPe C\$44m of finance costs and working capital to first pour. Cash and pre-first-pour warrants comes to C\$115m; assuming 60% gearing on capex, we lower our residual equity requirement from C\$150m to C\$75m, taking our fully-funded (for mine build) fully diluted (for options) from 221m to 268m shares. Updating for spot FX drops our Eskay NPV_{5%-1850} from C\$1,629m to C\$1,607m. As the project matures we move our model to a fully-diluted for mine build, and consequently increase our NAV multiple to 0.7x to reflect newly modelled dilution. As such, we maintain our BUY rating, but lower our PT from C\$4.80/sh to C\$4.30/sh. This multiple is designed to catch our estimated +20% ounce upside at Eskay, which could be booked as soon as next year as updated resources come through. We hold Snip at US\$75/oz on the 640koz existing reserve, and see similar upside potential there, either to a larger resource, or to a DCF valuation should a development plan be formulated to tie into Eskay.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Recent engineering hires give strong well balanced geological and engineering teams
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- 1Q21: First assays from ABX 25m now-removed buffer zone
- 1H21: Results from six rigs drilling 21A, 21B, 21C for PFS infill
- 1H21: 25 holes into 200 footwall at Snip
- 1H21/4Q21: PFS/DFS
- 1Q22/1Q24: Build start, first pour

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Ticker: SKE CN		Price / mkt cap: C\$2.94/sh, C\$637m		Project PNAV today: 0.49x		Asset: Eskay Creek / Snip	
Author: Brock Salier		Rec / 0.7xNAV PT: BUY, C\$4.3/sh		1xNAV_{1Q21} FF FD: C\$6.04/sh		Country: Canada: BC	
Commodity price		CY18A	CY19A	CY20E	CY21E	CY22E	
Gold price		1,850	1,850	1,850	1,850	1,850	
SOTP project valuation*							
		C\$m	O/ship	NAVx	C\$/sh		
Ungeared proj. @ build start (2Q21)		1,607	100%	1.00x	6.45		
Pro forma cash		76	100%	1.00x	0.31		
Cash from options		49	100%	1.00x	0.20		
Snip (US\$75/oz)		63	100%	1.00x	0.25		
Asset NAV5% C\$1850/oz		1,794			7.21		
*Shares diluted for options but not mine build		Market P/NAV _{8%} 2Q20		0.41x			
Asset value: 1xNPV project @ build start (C\$m, ungeared)*							
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
10.0% discount		1,352	1,466	1,579	1,643	1,753	
7.5% discount		1,489	1,614	1,738	1,811	1,933	
5.0% discount		1,648	1,785	1,923	2,007	2,141	
Ungeared project IRR:		98%	105%	112%	111%	117%	
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
3.7g/t AuEq		1,339	1,463	1,586	1,710	1,833	
4.1g/t AuEq		1,648	1,785	1,923	2,007	2,141	
4.5g/t AuEq		1,957	2,054	2,202	2,349	2,497	
NPV5 (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
Payability: 67%		1,339	1,463	1,586	1,710	1,833	
Payability: 74%		1,648	1,785	1,923	2,007	2,141	
Payability: 82%		1,957	2,054	2,202	2,349	2,497	
*Project level NPV, excl finance costs and central SGA, discounted to build start							
Group valuation over time^		4Q20	4Q21	4Q22	4Q23	4Q24	
Eskay Creek (C\$m)		1,440	1,586	1,776	2,028	1,789	
Net cash prior qtr (C\$m)		76	36	5	(169)	166	
G&A and finance costs (C\$m)		(123)	(87)	(86)	(76)	(61)	
Cash from options (C\$m)		49	49	49	49	49	
Snip		63	63	63	63	63	
NAV FF FD (C\$m)		1,505	1,647	1,807	1,894	2,006	
FD shares		249	269	269	269	269	
1xNAV _{5%} /sh FF FD (C\$/sh)		6.04*	6.13*	6.73*	7.05*	7.47*	
0.7xNAV PT:		4.30					
Geared company NAV diluted for mine build, net G&A and finance costs							
4Q21 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
10.0% discount		4.49	4.90	5.32	5.55	5.95	
7.5% discount		5.00	5.45	5.91	6.18	6.62	
5.0% discount		5.59	6.10	6.60	6.91	7.40	
Geared project IRR:		89%	96%	102%	102%	108%	
4Q21 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	
Payability: 67%		4.45	4.91	5.36	5.82	6.27	
Payability: 74%		5.59	6.10	6.60	6.91	7.40	
Payability: 82%		6.73	7.08	7.63	8.17	8.71	
^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity							
Production		Y1	Y2	Y3	Y4	Y5	
Gold production (000oz)		439	360	359	339	354	
C1 cost (US\$/oz)		798	866	832	818	804	
AISC cost (US\$/oz)		813	903	864	849	847	
AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024							
Resource / Reserve		AuEq (koz)	AuEq (g/t)				
Meas., indicated and inferred		3515koz	4.59g/t				
Underground resource		236koz	6.59g/t				
Snip		646koz	13.60g/t				
Funding: uses			Funding: sources				
PFS capex		C\$303m	Cash	C\$76m			
SCPe G&A to 1st Au + ABX \$		C\$18m	Options / warrants pre first pour	C\$39m			
SCPe pre-production expl'n		C\$35m	Mine debt @ 60% gearing	C\$212m			
SCPe finance costs + wkg cap		C\$44m	Mine build equity at 30% prem.	C\$75m			
Total uses		C\$399m	Total proceeds	C\$402m			
*Cash from options expiring pre first pour			Buffer	C\$2m			
Share data							
Basic shares (m)		216.6	FD with build equity raise	268.6			
FD with options (m)		249.0					
Ratio analysis		CY18A	CY19A	CY20E	CY21E	CY22E	
Average shares out (m)		91.3	107.3	216.6	233.8	238.9	
EPS (C\$/sh)		-	-	-	-	-	
CFPS (C\$/sh)		-	-	-	-	-	
EV (C\$m)		267.2	303.7	604.5	724.6	877.3	
FCF yield (%)		-	-	-	-	-	
PER (x)		-	-	-	-	-	
P/CF (x)		-	-	-	-	-	
EV/EBITDA (x)		-	-	-	-	-	
Income statement		CY18A	CY19A	CY20E	CY21E	CY22E	
Net revenue (C\$m)		-	-	-	-	-	
Selling costs (C\$m)		-	-	-	-	-	
Gross profit (C\$m)		-	-	-	-	-	
D&A, attrib (C\$m)		0.2	0.4	-	-	-	
Admin (C\$m)		4.3	4.5	5.0	5.0	5.0	
Expensed exploration (C\$m)		11.5	12.8	17.0	-	-	
Finance cost (C\$m)		(0.0)	(0.1)	-	-	(3.2)	
Forex, other (C\$m)		(0.5)	9.5	-	-	-	
Taxes (C\$m)		-	-	-	-	-	
Net income (C\$m)		(15.5)	(27.1)	(22.0)	(5.0)	(1.8)	
Cash flow, attrib.		CY18A	CY19A	CY20E	CY21E	CY22E	
EBIT (C\$m)		(15.5)	(27.2)	(22.0)	(5.0)	(5.0)	
Add back D&A (C\$m)		0.2	0.4	-	-	-	
Less tax + net interest (C\$m)		(0.0)	(0.1)	-	-	(3.2)	
Net change in wkg cap (C\$m)		(1.4)	4.2	-	-	-	
Add back other non-cash (C\$m)		1.6	12.0	-	-	-	
Cash flow ops (C\$m)		(15.1)	(10.5)	(22.0)	(5.0)	(1.8)	
PP&E - build + sust. (C\$m)		3.2	0.6	-	(139.6)	(163.6)	
PP&E - expl'n (C\$m)		-	(0.2)	-	-	(10.8)	
Cash flow inv. (C\$m)		3.2	0.4	-	(139.6)	(174.4)	
Share issue (C\$m)		12.0	22.1	-	75.0	38.6	
Proceeds from sale (C\$m)		-	-	-	-	-	
Debt draw (repay) (C\$m)		-	-	-	70.6	141.2	
Cash flow fin. (C\$m)		12.0	22.1	-	145.6	179.8	
Net change in cash (C\$m)		0.1	12.0	(22.0)	1.0	3.6	
EBITDA (C\$m)		(15.4)	(26.8)	(22.0)	(5.0)	(5.0)	
Balance sheet		CY18A	CY19A	CY20E	CY21E	CY22E	
Cash (C\$m)		1.1	13.1	35.1	36.1	39.7	
Acc rec., inv, prepaid (C\$m)		3.7	2.8	5.2	5.2	5.2	
PP&E + other (C\$m)		19.7	8.5	14.9	154.6	329.0	
Total assets (C\$m)		25	24	55	196	374	
Debt (C\$m)		-	1.5	2.7	73.3	214.5	
Accounts payable (C\$m)		1.4	4.1	11.8	11.8	11.8	
Others (C\$m)		4.6	7.2	8.7	8.7	8.7	
Total liabilities (C\$m)		6.0	12.8	23.2	93.8	235.0	
Sh'hlds equity + wrnts (C\$m)		81.6	99.2	183.2	258.2	296.8	
Retained earn'gs + rsvs (C\$m)		(63.0)	(87.6)	(151.1)	(156.1)	(157.9)	
Liabilities + equity (C\$m)		25	24	55	196	374	

Source: SCP estimates

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HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	1
NOT RATED:	0
TOTAL	27

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